

DELL - Investment Memo

Horizon: position (1-6mo) | Model confidence: 68/100 (self-assessed, not calibrated)

WATCH

Scenario returns (model estimates)

Bull +18% (35%) | Base +3% (45%) | Bear -8% (20%) => probability-weighted +6.1%

Why (thesis)

- + TickerDesk quant stack (A+ swing, 86 overnight conviction, \$2.6M golden sweep) confirms institutional positioning ah
- + AI server revenue growth at 87.5% is structural, not cyclical - Dell's ISG backlog extends 6-9 months, insulating it
- + Risk-On regime with small-cap leadership (+4.2% IWM vs +1.1% SPY) favors large-cap tech names with momentum character

What kills it (risks)

- x Zero insider buying in 12 months vs \$693M in sales is a screaming red flag - management is liquidating at these levels
- x RS line NOT at new high despite +121.8% outperformance means the stock is lagging its own momentum - it's 11% off the
- x September 3 earnings is 58 days away - that's nearly two months of dead time where the stock can churn in a \$394-\$440

Decision matrix

- 35% Bull: Sept 3 beat-and-raise, ISG backlog >\$10B disclosed, shares gap to \$460+ -> Scale into Sept \$440 calls on
- 45% Base: Stock chops \$405-\$430 into earnings, in-line print, modest +3-5% post-ER drift -> Stay sidelined - no edge
- 20% Bear: Margin guidance cut or ISG deceleration on Sept 3, gap-fill to \$380-390 -> If thesis breaks (close <\$394)

Thesis improves if

- > Price reclaims \$444 pivot on volume >1.5x within next 10 days - that's the breakout confirmation and changes the set
- > Any pre-announcement or investor-day disclosure (Dell typically hosts AI/ISG deep-dives in Aug) quantifying AI serve
- > Competitor weakness (HPE margin miss, SMCI further accounting issues, Lenovo share loss) creates a flight-to-quality

Thesis breaks if

- < Close below \$394 (20MA and base support) on volume >1.2x - that's the technical invalidation and signals the coil is
- < NVIDIA (Aug 28 earnings, 6 days before DELL) guides GPU allocation constraints or enterprise shipment delays - that
- < Any C-suite insider selling accelerates (watch SEC Form 4 filings) - if Michael Dell or Jeff Clarke dump additional

Variant perception

- Consensus: Market views DELL as a high-quality, low-volatility way to play enterprise AI infrastructure buildout - con
- Variant: Variant view: the Sept 3 print is already priced - 82% institutional ownership, \$485 consensus target, and

Position plan (ATR-derived, not advice)

Entry zone 409.28-425.28 | Stop 369.30 | Target 497.24 | R:R 1.7 (ATR14 31.99; entry +/-0.25xATR, stop 1.5x, target 2.5x - adjust to your structure)

DELL

Dell Technologies Inc.

\$417.28

+1.33%

RS vs SPY: +121.8%

B STRONG SETUP

\$269.6B Cap | 303M Float

Computer Hardware | Theme: AI Infrastructure | 52W Hi: 89% | Base Tight: 2.17 | Vol: 0.83x | RS/SPY: +121.8% | Above 20MA: YES | EARNINGS IN 58D

SETUP METRICS	
Price	\$417.28
Day Change	+1.33%
Mkt Cap	\$269.62B
Float	303M sh
RS vs SPY	+121.8%
52W Hi Prox	89%
Base Tight	2.17
Vol vs Avg	0.83x
RS Line Hi	no
Above 50MA	YES
Fwd P/E	19.5x
Short %	5.2%
Days to Cover	1.3d
Inst. Own	82.4%

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move reflects sustained AI server demand tailwinds driving 87.5% revenue growth, positioning Dell as the enterprise AI infrastructure play. Forward catalyst: Q2 earnings on September 3rd (58d out) will be the next inflection - consensus expects continued AI server revenue strength, and any guidance raise on ISG backlog or GPU server shipments extending into H2 could propel the stock toward \$485+ consensus target and retest the \$469 52-week high.
BUSINESS & POSITION
Dell is the second-largest enterprise server vendor globally, capturing the AI infrastructure wave through its PowerEdge GPU servers and direct enterprise relationships. The company has pivoted from legacy PC/storage into a high-margin AI server supplier, benefiting from multi-year enterprise GenAI infrastructure buildouts where it competes directly with HPE and Supermicro but holds deeper Fortune 500 procurement relationships.
FACTOR & THEME
Pure-play AI infrastructure beneficiary without hyperscaler concentration risk - Dell sells into enterprise/mid-market AI deployments (financial services, healthcare, government) rather than mega-cap cloud capex. The 87.5% revenue growth is structural, not cyclical, driven by ISG (Infrastructure Solutions Group) server backlog that extends 6-9 months out. Theme momentum is accelerating as enterprise AI spending shifts from pilot to production scale in 2H26.
BREAKOUT SIGNAL
Trading at \$417.28, up 1.33% on 0.83x average volume - below-average volume is a yellow flag for breakout confirmation, though the TickerDesk A+ swing grade and 86 overnight conviction suggest algorithmic buyers are accumulating quietly into the September catalyst.
INSTITUTIONAL
Institutional ownership at 82.4% with 2,166 holders reflects broad blue-chip acceptance; the name is a core large-cap growth position, not a crowded momentum trade. TickerDesk quant signals confirm institutional conviction: swing grade A+, RS rank 95th percentile, overnight conviction 86 (Bullish Call), and options flow showing \$2.6M in premium with golden sweeps 4.4x open interest - smart money is positioned for the September earnings catalyst. Short interest is modest at 5.2% with only 1.3 days-to-cover, offering no meaningful squeeze fuel but eliminating short-side pressure. The disconfirming evidence: zero insider buying in 12 months alongside 764 insider sales totaling \$693M signals insiders view current levels as rich - this is pure institutional momentum with no insider conviction underpinning it.
EARNINGS
EARNINGS IN 58D
EARNINGS CONTEXT
Next print September 3rd. Consensus expects continued ISG strength driven by AI server demand; Dell has beaten revenue estimates in 3 of the last 4 quarters, though EPS delivery has been mixed due to gross margin pressure from GPU component costs. The setup is a classic 'beat-and-raise' re-rating candidate if management guides Q3/Q4 ISG revenue above Street and quantifies the AI server pipeline - any disappointment on backlog conversion or margin compression from NVIDIA GPU allocation constraints is the key risk into the print.
KEY RISK
Thesis invalid on a close below the \$394 level (20-day MA and breakout base support), or if September 3rd earnings show ISG AI server growth decelerating or gross margins compressing below 22% due to GPU supply constraints. The stock is 11% below the \$469.47 52-week high, and failure to reclaim that level on the next earnings beat would signal institutional profit-taking and limited upside re-rating potential despite the AI narrative.

DELL - Analysis (continued)

ANALYSIS

Dell sits 11% from its 52-week high with RS line NOT at new high despite +121.8% outperformance vs SPY over 12 weeks - this indicates the stock is in a consolidation phase after a massive run, not an early-stage breakout. The strongest disconfirming evidence is zero insider buying against \$693M in insider sales over 12 months, signaling management views current valuation as full. However, the macro backdrop (Risk-On, small-cap leadership) favors large-cap tech with small/mid-cap-like momentum characteristics, and the September 3rd earnings catalyst is a clear binary event 58 days out with institutional positioning (82% ownership, \$2.6M options sweep, A+ quant grade) confirming conviction. The base_tight at 2.17 is slightly wider than ideal (textbook VCP is <1.5), and below-average volume today (0.83x) means this is not yet a confirmed breakout - it's a pre-earnings coil with follow-through potential IF volume accelerates above 1.5x on the next leg. Conviction: Medium - this is a quality name with a clear catalyst path, but the lack of insider support and RS line confirmation downgrades it from A to B. It's a position trade into the September print, not a swing breakout.

Signal: Trading at \$417.28, up 1.33% on 0.83x average volume -
Vol vs Avg: 0.83x



INSIDER TRANSACTIONS - LAST 12 MONTHS

Source: SEC EDGAR Form 4 | P=open buy, S=sale, M=opt exercise, A=grant, F=tax withhold

12-Month Summary

Open-market buys: 0 (\$0) | Sales: 764 (\$693.01M) | Net: -\$693.01M | Total transactions: 810

Date	Insider	Title	Action	Shares	Price	Value
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	390	\$392.47	\$153K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	215	\$392.47	\$84K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	936	\$393.89	\$369K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	514	\$393.89	\$202K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	441	\$394.81	\$174K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	243	\$394.81	\$96K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	7,125	\$396.24	\$2.82M
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	3,915	\$396.24	\$1.55M
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	516	\$398.16	\$205K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	284	\$398.16	\$113K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	968	\$399.38	\$387K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	532	\$399.38	\$212K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	387	\$400.67	\$155K
2026-06-26	Silver Lake Group, L.L.C.	10% Owner	Sale	213	\$400.67	\$85K
2026-06-22	Radakovich Lynn Vojvodich	Director	Opt Exer	12,022	\$31.14	\$374K
2026-06-22	Radakovich Lynn Vojvodich	Director	Sale	12,022	\$421.00	\$5.06M
2026-06-17	Saavedra Jennifer D.	Chief Human Resources	Gift	50	\$0.00	\$0
2026-06-16	Tunnell Jane	Chief Marketing Office	Gift	243	\$0.00	\$0
2026-06-16	Tunnell Jane	Chief Marketing Office	Gift	276	\$0.00	\$0
2026-06-15	Rothberg Richard J	General Counsel & Secr	Sale	20,000	\$410.00	\$8.20M
2026-06-15	Tunnell Jane	Chief Marketing Office	Tax W/H	5,879	\$395.57	\$2.33M
2026-06-12	Silver Lake Technology Investo	10% Owner	Opt Exer	766	\$0.00	\$0
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	110	\$399.50	\$44K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	100	\$400.52	\$40K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	126	\$401.41	\$51K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	87	\$402.53	\$35K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	39	\$403.35	\$16K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	24	\$404.58	\$10K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	96	\$405.57	\$39K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	130	\$406.35	\$53K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	47	\$407.38	\$19K
2026-06-12	Silver Lake Technology Investo	10% Owner	Sale	5	\$408.08	\$2K
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Opt Exer	52,073	\$0.00	\$0
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	5,697	\$399.50	\$2.28M
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	5,186	\$400.52	\$2.08M
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	6,488	\$401.41	\$2.60M
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	4,512	\$402.53	\$1.82M
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	2,020	\$403.35	\$815K
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	1,261	\$404.58	\$510K
2026-06-12	Silver Lake Partners IV, L.P.	10% Owner	Sale	4,973	\$405.57	\$2.02M

... showing 40 of 810 total transactions

Institutional Ownership & Filings

Source: yfinance (13F snapshot) + SEC EDGAR (13D/13G filings)

Insider % 7.49%	Institutional % 82.4%	Inst. Float % 89.0%	# Institutions 2,166
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SMART MONEY SIGNAL: GREY - Insufficient Smart Money Evidence

Top 10 Institutional Holders

Fund	% Out	Shares	Value	Reported	Type
Blackrock Inc.	7.62%	24.7M	\$10.33B	2026-03-31	Passive
Vanguard Capital Management LLC	5.98%	19.4M	\$8.11B	2026-03-31	Passive
Bank of America Corporation	4.43%	14.4M	\$6.01B	2026-03-31	Active
State Street Corporation	4.41%	14.3M	\$5.98B	2026-03-31	Passive
Invesco Ltd.	2.74%	8.9M	\$3.72B	2026-03-31	Passive
Vanguard Portfolio Management LLC	2.47%	8.0M	\$3.34B	2026-03-31	Passive
Geode Capital Management, LLC	2.38%	7.7M	\$3.22B	2026-03-31	Passive
Morgan Stanley	2.05%	6.6M	\$2.77B	2026-03-31	Active
Goldman Sachs Group Inc	2.03%	6.6M	\$2.76B	2026-03-31	Active
Jane Street Group, LLC	1.88%	6.1M	\$2.55B	2026-03-31	Active

Recent 13D / 13G Filings (last 12 months)

13D = activist stake, board pressure, takeover | 13G = passive 5%+ holder, lower-conviction

No 13D or 13G filings against this company in the last 12 months.

Ownership Interpretation

Smart Money:	Top holders skew 6 passive / 4 active. No high-conviction smart-money names identified.
Concentration:	Top 10 hold 36% - moderate concentration, normal for SMID.
13D/13G:	No 5%+ stake filings in last 12 months. Either nobody's gone over the threshold or the company is too large for 5% to be common (>\$10B caps rarely see 13D/G activity).
Insider Tape:	764 insider sales in 12 months, no open-market purchases - neutral to bearish (but typical for unprofitable growth companies).

INSTITUTIONAL FOOTPRINT - PRICE / VOLUME INTELLIGENCE

What institutions are doing right now (the price/volume tape never lies)

B

Accumulation

Score: 60.9/100

37 up days | 24 down days | 3 flat (last 65)

SILENT BUILD PATTERN

NOT PRESENT

No silent-build pattern in last 20 days.

Monthly Accumulation/Distribution Flow

Trend over last 3 months: are institutions accumulating, distributing, or rotating?

Period	Up-Vol %	A/D Trend	Price Chg	Vol vs Avg	Signal
3 Months Ago	69.6%	Strong Accumulation	+24.5%	0.71x	BULLISH
2 Months Ago	70.4%	Strong Accumulation	+99.0%	1.29x	BULLISH
Last Month	50.4%	Mixed	-1.1%	1.00x	Neutral

Significant Volume Days (Last 90 Days, >2x Average Volume)

Each row = a day institutions left a clear footprint. Absorption = stealth accumulation (silent buy).

Date	Close	Day Chg %	Volume	Rel Vol	Classification	Signal
2026-05-29	\$420.91	+32.8%	41,833,000	4.3x	ACCUMULATION	Bullish
2026-05-28	\$317.05	+3.8%	26,611,300	3.4x	ACCUMULATION	Bullish
2026-05-22	\$295.19	+16.8%	15,291,500	2.4x	ACCUMULATION	Bullish

Volume / Tape Synthesis

A/D Verdict: B-rated tape (Accumulation). Volume action favors buyers - institutions are net accumulating over the last 13 weeks.

Vol Footprint: Last 90d: 3 accumulation day(s) at >2x average volume. Net bullish - accumulation outpacing distribution.

TAPE-BASED ACTION: WATCH / SMALL STARTER OK